

(Kwanele steps up first.)

Kwanele: Before we dive in, let's do a quick survey. Raise your hand if you think more trade openness leads to greater exchange rate stability? (Pause and acknowledge responses.)

Now, raise your hand if you think more trade openness leads to more volatility? (Pause, react to responses.)

Interesting! Well, scholars have debated this for years. It's been studied for decades, but there's no single answer. One reason? Researchers measure volatility in different ways—some use standard deviation, others use GARCH models. Mpofu (2020) argues this is why results often contradict each other. Let's explore some key findings.

(Jacob jumps in.)

Jacob: One of the earliest studies by Hau (2002) found that higher trade integration reduces exchange rate fluctuations by smoothing out monetary shocks through international trade. In other words, the more open an economy is, the more stable its exchange rate becomes.

And guess what? Mpofu (2020) found the same effect in South Africa! Under a floating exchange rate, greater trade openness helped stabilize the rand. Makes sense, right? If a country is more integrated with global trade, currency shocks get absorbed more smoothly.

(Kristof adds to this, keeping the pace engaging.)

Kristof: Yes, but not all studies agree. Different economic models tell different stories. Take the New Open Economy Macroeconomics model (NOEM), for example. This model doesn't just look at trade—it also considers factors like government spending and capital mobility. Calderón (2004) analyzed 79 countries and found that trade openness can reduce the impact of shocks on exchange rates—but only if the country has strong financial structures.

Then there's the Optimum Currency Area theory by Mundell (1961), which suggests that exchange rate volatility depends on trade linkages and asymmetric shocks. Bayoumi and Eichengreen (1998) tested this idea and found that economies experiencing larger shocks also see bigger swings in their exchange rates. So, it's not a one-size-fits-all situation—context matters.

(Kwanele jumps back in.)

*why m2, not m1/3
captures more, m1 is more volatile than 2+3*

Kwanele: Exactly! And this is especially important when looking at low- and middle-income countries. Financial markets and policy responses in these economies differ significantly from those in developed nations, meaning the same rules don't always apply.

(Jacob gestures toward the audience.)

Jacob: So, back to our earlier question—does more trade openness increase or decrease volatility? Well, the answer is... it depends. It depends on the country, its policies, and external shocks.

So far, we've talked about big-picture macroeconomic factors. But what about speculation? Flood and Rose (1995) argue that exchange rates aren't just about economic fundamentals—they're driven by investor behavior and market sentiment. Think about COVID-19: when global markets panicked, exchange rate volatility spiked—not just because of trade or interest rates, but because of uncertainty and speculation.

(Kristof builds on this point.)

Kristof: And that's a huge gap in the research. Most studies focus on macroeconomic fundamentals and ignore the role of investor behavior. But in emerging markets like South Africa, speculation and capital flows

can have just as much impact as trade openness.

That's why our research is so important—it helps bridge the gap between existing studies and real-world applications. Most prior research focuses on developed economies, but South Africa? Not so much. Plus, a lot of these studies predate major global shocks like the 2008 Financial Crisis and COVID-19.

(Kwanele wraps up the section.)

Kwanele: And that's where we come in—updating the story for South Africa. Now, let's take a closer look at our methodology and findings...

(Smooth transition into the next section.)